CLIMATE ACTION

GRI: 102-1, 2 RT-CH-110a.1, 110a.2

Our operations are vulnerable to climate-related transition and physical risks while the versatility of our product range in delivering on sustainability priorities presents a range of climate related opportunities. During the year under review, Haycarb reviewed its climate-related risks and opportunities to ensure their continued relevance. Based on this assessment, the Group re-defined its climate related risks and opportunities as follows.

- Climate related transition risks
  - Policy and legal
  - Reputation
- Climate related physical risks
  - Acute physical risks – Extreme weather events
  - Chronic physical risks – Rise in temperature, changes to precipitation, water stress and scarcity
- Climate related opportunities
  - Products and services
  - Resilience

Given this context, Haycarb's climate transition plan seeks to reduce the GHG emissions arising from its operations in support of global and local efforts to transition to a low carbon economy. Concurrently, its climate adaptation plan aims to strengthen business resilience to chronic climate related physical risks.



OUR CLIMATE TRANSITION PLAN

The Group's climate transition plan is actioned through ACTIVATE, Haycarb's 2030 ESG roadmap. Underpinned by a robust policy framework, ACTIVATE prioritises emission reduction across all its manufacturing locations while supporting its value chain partners' transition to a low carbon economy through sustainable innovation and supplier engagement.

The Group's emission reduction goals are set out in ACTIVATE, which aligns with our parent company's ESG Roadmap; Hayleys LifeCode. These goals are informed by Sri Lanka's Nationally Determined Contribution to reduce cumulative GHG emissions by 20.09% by 2035 in alignment with the Paris Agreement. Detailed information about our efforts to decarbonise out operations are set out below.

OUR CLIMATE ADAPTATION PLAN

As the physical implications of climate change progressively intensify around the world, the imperative to build resilience continues to increase. While extreme weather events could affect operational continuity, chronic risks of climate change could affect raw material availability, quality and production efficiency with adverse implications on our team and the livelihoods of our supplier network while also impacting the wellbeing of our employees.

Accordingly, we have integrated climate adaptation into our ESG strategy to strengthen business resilience to climate related risks. Data from numerous sources, including scenario analysis as reported in SLFRS Sustainability Reporting (please refer page 63) informed the development of our climate change adaptation plan.

GOVERNANCE

The Board of Directors and ESG Committee is responsible for the stewardship of the Group's climate transition and climate adaptation plans.

(Please refer Corporate governance, and SLFRS Sustainability Reporting for more information).

POLICY FRAMEWORK

- Energy policy
- Water Policy
- Innovation policy
- Procurement policy

STRATEGIC INTEGRATION AND RESOURCE ALLOCATION

- Progress is tracked through ACTIVATE milestones and management reviews.
- Facility upgrade roadmap
- Annual capital expenditure planning

OUR CLIMATE TRANSITION PLAN

GRI 102-1

Increase renewable and circular energy

- Expand solar power generation at factory premises.
- Improve renewable electricity generation and export through waste-heat recovery (Recogen).
- Continue to explore renewable electricity procurement through market-based mechanisms where available and commercially feasible
- Ongoing emphasis on strengthening waste heat recovery systems.

Sustainable innovation

- Improve energy intensity and raw material efficiency through R&D and process improvements.
- Develop activated carbon solutions for purification, emissions control and energy storage applications.

Improve thermal efficiency and reduce fossil fuel dependence

- Substitute conventional fuels in kilns with steam generated using waste heat recovered from charcoaling operations.
- Improve energy intensity of our production process.

Supply chain and upstream interventions

- Promote sustainable charcoaling practices to reduce emissions while strengthening livelihood resilience.

Energy management and continuous improvement

- Improve site-level energy management practices.
- Monitor energy performance.
- Implement energy efficiency initiatives across utilities and production lines.

Capital expenditure incurred for climate transition plan

15%

OUR CLIMATE ADAPTATION PLAN GRI 102-2

Water stewardship and conservation
- Improve water efficiency through process optimisation and monitoring.
- Increase rainwater harvesting, reuse and recycling where feasible.
- Strengthening monitoring of water withdrawal and discharge to ensure compliance and effective management.

Operational resilience
- Preventive maintenance and infrastructure upgrades to withstand extreme weather.
- Contingency planning for power interruptions.
- Improved drainage and site risk controls where relevant.
- Review insurance and business continuity measures where relevant.

Worker safety and wellbeing
- Strengthen heat stress controls for employees.
- Maintain health and safety protocols for extreme weather conditions.
- Provide climate adaptation awareness and training.

Supply chain resilience
- A diversified supplier base across geographic regions.
- Maintaining mutually beneficial supplier relationships.
- Strengthening buffer stocks.
- Raw material diversification where possible.

Sustainable innovation
- Develop water-efficient processes and reuse systems to reduce exposure to water scarcity.
- Improve drying, washing and utility systems to perform better under heat and rainfall variability.
- Use climate risk insights to guide future energy, water, infrastructure and sourcing investments.



Capital expenditure incurred for climate adaptation plan

3%

MANAGING CLIMATE ACTION RESPONSIBLY

Haycarb's climate action plans are shaped not only by operational priorities, but also by insights gathered through stakeholder engagement. As we improve energy efficiency, expand renewable and recovered energy use, strengthen water stewardship and promote sustainable charcoaling, we remain mindful of the potential impacts these changes may have on employees, suppliers, communities and the surrounding environment.

Within our operations, climate-related improvements are implemented through employee engagement, training and safety controls to ensure that teams are supported through changes in processes, equipment and work practices. Where operational transitions are required, we focus on building internal capability, safeguarding employee wellbeing and minimising disruption to production continuity.

Our supplier network also plays an important role in this transition, particularly in relation to coconut shell charcoal sourcing. Through initiatives such as Haritha Angara and related supplier engagement programs, Haycarb continues to provide technical guidance and support to suppliers as they adopt more sustainable charcoaling practices. Further details are provided under Social and Relationship Capital on page 242.

We also take care to manage the environmental footprint of our climate-related projects. Prior to renewable energy installations, infrastructure upgrades or site-level modifications, relevant screenings and legal requirements are completed to minimise potential impacts on nearby habitats and ecosystems. Overall, our climate action plans are intended to reduce emissions and resource intensity while complementing biodiversity conservation efforts, including habitat improvement and pollinator-support initiatives at selected locations.

Progress against our environmental commitments is tracked through the ACTIVATE 2030 ESG Roadmap, which is structured around five pillars: RESTORE for environmental stewardship, INSPIRE for employees, UPLIFT for communities and the supply chain, EXCITE for customers, and INNOVATE for products and solutions. Within Natural Capital, emphasis is placed on the RESTORE pillar, including renewable energy, emissions, energy intensity, water stewardship, waste management, circularity and responsible sourcing. Further details are provided in the ACTIVATE ESG Roadmap on page 44.

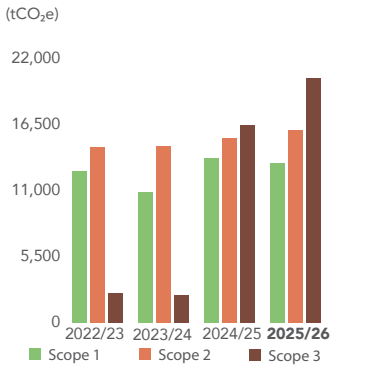
Climate-related risks and opportunities are assessed separately through the Group's SLFRS S1 and S2 disclosure process, including climate risk mapping, value chain impact assessment, scenario analysis, resilience assessment and evaluation of current and anticipated financial effects. These disclosures provide further detail on how climate-related risks and opportunities are identified, prioritised, quantified and integrated into strategy, risk management and capital allocation. Further details are provided in the SLFRS S1 and S2 section on page 63.

Haycarb's GHG emissions throughout the years are as follows: GRI: 102-5-7, 2-4

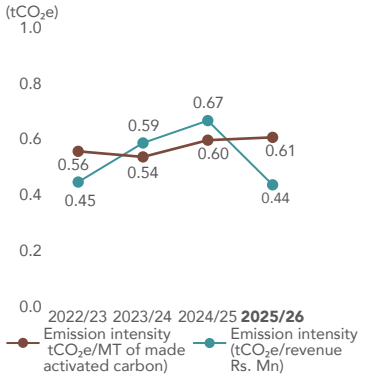
Year	Scope	Emissions (tCO_2e)	Biogenic emissions (tCO_2e)
2022/23	Scope 1	12,622	41,305
	Scope 2*	14,589	
	Scope 3	2,444	
2023/24	Scope 1	10,903	48,658
	Scope 2*	14,730	
	Scope 3	2,308	
2024/25	Scope 1	13,741	31,429
	Scope 2*	15,403	
	Scope 3	16,457	
2025/26	Scope 1	13,303	105,286
	Scope 2*	16,066	
	Scope 3	20,416	

**Scope 2 emissions have been recalculated from the base year using applicable country-specific grid emission factors*

GHG Footprint- Scope1, 2 & 3



Emission Intensity (Scope 1 & 2)



GRI: 102-9, RT-CH - 110a.1, 120a.1

Haycarb monitors Scope 1 and 2 emission intensity using both production-based and revenue-based indicators, enabling a more balanced assessment of emissions performance in relation to operational output and business growth.

GRI: 102 - 9

During 2025/26, emission intensity per revenue reduced from 0.67 tCO_2e/Revenue Rs. Mn to 0.44 tCO_2e/ Revenue Rs. Mn, reflecting improved emissions efficiency relative to revenue generated. Production based emissons increased marginally from 0.60 tCO_2e/MT to 0.61 t CO_2e/MT during the year.

This improvement was supported by the Group's continued focus on renewable and recovered energy use, energy efficiency initiatives, solar generation and process optimisation. While production-based emission intensity remains slightly above earlier baseline levels, the year-on-year reduction reflects progress in improving the carbon efficiency of operations. The Group will continue to prioritise energy efficiency, fuel switching, waste heat recovery and renewable energy expansion to further reduce emission intensity over time.

Expanding scope 3 emissions transparency

During the year, Haycarb continued to strengthen the transparency and completeness of its greenhouse gas inventory by assessing Scope 3 emissions across 7 of the 15 categories identified by the GHG Protocol. This reflects the same Scope 3 category coverage as the previous reporting year, enabling greater consistency in year-on-year assessment.


GREENHOUSE GAS VERIFICATION OPINION

Haycarb PLC

ISO 14064-1:2018

Haycarb obtained third-party verification from Control Union Inspections (Pvt) Ltd for our FY 2025/26 organisational GHG inventory, prepared in accordance with ISO 14064-1:2018.